ACQUISITION ANALYSIS · SINGLE-TENANT NET LEASE · AUGUST 2026

451 White Horse Pike
Atco, New Jersey

A corner drive-thru property on US Route 30 with 2.5 spare acres, bought at land-and-shell value.
A growth opportunity with a hard floor under it — and every modelled outcome positive.

PREPARED FOR THE BUYER · CONFIDENTIAL

THE OPPORTUNITY IN ONE PARAGRAPH

A 4,400 SF corner building on 3.13 acres, let to a cannabis dispensary at $132,000 a year with 6.5 years to run. That rent is about 36% above what an ordinary tenant would pay — so we **refuse to pay for it**, and bid $1,100,000, the value of the building let at ordinary rent. At that price the cannabis premium, the renewal option, the drive-thru and **2.5 undeveloped acres all come free** — and those spare acres are the growth. Monetise them and re-let the building on a proper lease with rent increases, and the asset roughly **doubles in value**. Meanwhile the floor is hard: **every outcome we model, including total tenant failure, still makes money.**

THE SHAPE OF THE BET

TEN-YEAR HOLD AT $1,100,000	WHAT HAS TO HAPPEN	RETURN	WITH A MORTGAGE
Floor — nothing goes right	Tenant fails, spare land never developed, building re-let at the bottom of the market	+5.4%	−3.7%
Base — the ordinary path	Building re-let to a medical or bank tenant. Land left alone	+8.7%	+7.2%
Growth — the plan works	**Spare land monetised *and* building re-let on a proper lease with increases**	**+18.2%**	**+24.2%**
If we simply sell when the lease ends in 2033	**Weighted across all six exit outcomes, land ignored**	**+12.0%**	**+14.9%**

Unlevered unless stated; mortgage column assumes 55% loan-to-value at 10%. **Note the one negative figure:** borrowing magnifies both directions, so in the floor case debt turns a small positive into a small loss. If the client wants the floor to stay positive in every case, buy it for cash or borrow less.

HOW THIS REPORT IS ORGANISED

PART I — THE OPPORTUNITY

1b. The property, the tenant and the lease

The facts everything else is built on

THE PROPERTY	±4,400 SF freestanding building on ±3.13 acres, at the **corner** of US Route 30 (White Horse Pike) and Cooper Folly Road, Atco — Waterford Township, Camden County, New Jersey. Built 1960 as a bank branch; renovated 2023. Vault, secure infrastructure, a 3-lane drive-thru and a large parking field. ±15,370 vehicles a day.
THE TENANT	**Holistic Solutions** — a New Jersey medical and adult-use cannabis dispensary. Founded 2018, **one location**, privately held. Opened February 2023 as New Jersey's 33rd medical dispensary and first Black woman-owned licence holder; converted to adult-use that May. Three-plus years of trading at this site.
THE LEASE	**Absolute NNN** — the tenant pays all taxes, insurance, maintenance, roof and structure. The landlord has no obligations at all. Runs 1 Feb 2023 to 31 Jan 2033; about 6.5 years remain. One 5-year renewal option at $154,000, entirely at the tenant's choice.
THE RENT	**$132,000 a year** ($11,000 a month, $30.00 per SF) — and it is **flat**. No increases at all for the full ten-year term. This matters more than anything else in the deal. See section 3.
THE GUARANTEE	**Two personal guarantees.** There is no parent company, no credit rating and no financial statements in the offering.
THE ASKING PRICE	**$1,600,000** — $363.64 per SF, an 8.25% return on the current rent.

Two features do most of the work in this report. The first is the corner — two road frontages are what make a 3-lane drive-thru circulate properly, and what put banks, coffee, fast food and pharmacy tenants in play. The second is the site size: at 3.13 acres the building covers only 3.2% of the land, which is where the growth in section 2 comes from.

The one number to keep in mind is the rent: $132,000 a year, flat, with no increases at all. That is the flaw we are buying at a discount and intend to fix.

PART I — THE OPPORTUNITY

2. Where the growth comes from

Four engines, none of which we are paying for

THE SHORT VERSION

Most net-lease property is a bond: you buy an income stream and it does what it does. **This one is not.** There are four separate ways the income and the value go up from here, and because we are buying at land-and-shell value, we pay for none of them.

1 **Two and a half acres doing nothing — the biggest lever**

The building covers **3.2%** of the site. Letting a building plot and licensing space for EV charging adds roughly **$100,000 a year** on land currently earning zero. That alone takes the yield on our money from **12% to 21%**, and creates about **$931,000** of value. The listing agent's own comps price drive-thru pads on this kind of road at $155,000–$325,000 a year.

2 **The current lease has no rent increases — the next one will**

Today's rent is flat until 2033: it never grows. Re-letting to a medical tenant or a credit union means a 10–15 year lease **with built-in increases**. We are not just replacing income, we are **upgrading its structure** — buying a flat bond and turning it into a growing one.

3 **An ordinary tenant makes the building mortgageable — and worth more**

Nobody can get a normal mortgage on a cannabis-let building, which is why they sell cheap. Put a bank or a medical group in there and the property becomes financeable, which opens it from a handful of cash buyers to the entire investment market. That is worth roughly **0.75–1.25 percentage points on the sale yield** — pure value growth with no extra income.

4 **We buy below the cost of building it**

At **$250 per square foot** we are under replacement cost on a corner site with a 3-lane drive-thru. Construction costs only go one way; every year that gap widens in our favour, and it puts a rising floor under the asset.

WHAT THOSE ENGINES ARE WORTH, STACKED UP

STEP	ANNUAL INCOME	VALUE	WHAT CHANGED
Where we start — buy at our offer	$132,000	$1,100,000	Cannabis rent, 6.5 years left, no growth
Add the spare land	$232,000	$2,508,000	Building plot let, EV chargers licensed
Re-let the building on a proper lease	$205,600	$2,492,000	Cannabis rent goes, medical rent with increases arrives
An ordinary tenant means it is mortgageable	$205,600	$2,653,000	Wider buyer pool tightens the sale yield
Less what it costs to get there	—	($466,800)	Land works $150,000, fit-out $264,000, letting fees $52,800
Stabilised value	**$210,900**	**$2,186,000**	**Very close to double our entry price, over about ten years**

That is roughly 7% compound growth in value a year, on top of the rent we collect the whole way through. The bridge above prices the finished asset at a 7.75% yield; the 18.2% return in section 5 uses a more conservative 8.00%, so the headline return does not depend on the tightest assumption. It requires the spare land to be developable and a decent tenant to be found — neither is guaranteed, and section 10 sets out exactly what has to be confirmed. But we are paying nothing for any of it, which is the point: if none of it happens we still make money (section 4).

3. The entry price is the foundation

Everything above depends on buying it right — here is why $1,600,000 fails

> **THE SHORT VERSION**
>
> The real estate is genuinely good. The **rent** is the problem. A cannabis dispensary pays far more than an ordinary tenant would, and that premium disappears the day the tenant leaves. The seller wants full price for rent that will not last.

1 **The property itself is good — we agree with the seller on this**

A corner site on a highway carrying 15,370 cars a day, with a rare 3-lane drive-thru, three acres of land, and a building that would cost more than the asking price to construct today. None of that is in dispute.

2 **But the rent is about 36% above market**

The tenant pays **$30.00 per SF**. Comparable buildings on this corridor — freestanding, with a drive-thru — let for **$20 to $24 per SF**. Cannabis operators pay a premium because compliant sites are scarce. That premium belongs to the tenant's licence, not to the building.

3 **And the rent never grows**

There are no increases for the entire ten-year term. After inflation, the $30.00 signed in 2023 is worth about $23 by 2033. A buyer at the asking price earns 8.25% and nothing more — there is no growth to sell into later.

4 **The credit behind it is two individuals**

Not a corporation and not a rated company — two personal guarantees from a single-shop operator, in a state where wholesale cannabis prices fell 23–26% in a year and more than 300 dispensaries now compete.

5 **So when the lease ends, the income drops**

Re-let to an ordinary tenant, this building produces **$88,000–$106,000** a year, not $132,000. Anyone paying $1,600,000 today is paying for income that steps down by a fifth to a third in 2033.

WHAT THAT DOES TO A BUYER AT THE ASKING PRICE

IF YOU PAY $1,600,000 AND…	YOUR RETURN	COMMENT
the tenant renews in 2033 the best realistic case	8.07%	You earn roughly the going-in rate and no more
you re-let to a bank or medical tenant	0.44–1.02%	The rent roll-down wipes out the return
the tenant fails and it sits empty	−1.43%	You lose money
Weighted across all outcomes	**4.33%**	**Less than cash earns in a money-market account**

> **The conclusion.** The asking price only works if the tenant renews — and even then it returns about 8%. Every other outcome is poor, and one loses money. That is not a risk profile worth $1,600,000.
>
> None of this means the deal is bad. It means the **price** is wrong. Section 3b shows what the property is actually worth, and what we should pay for it.

PART I — THE OPPORTUNITY

3b. What it is worth, and what to offer

Four valuation methods, and the recommendation

THE SHORT VERSION

Four independent methods value this property around **$1,252,500**. The absolute floor — what it is worth with an ordinary tenant and no cannabis premium at all — is **$1,106,000**.

We recommend offering $1,100,000. That sits at the floor. We buy the building at plain, conventional-use value — and the cannabis rent premium, the renewal option, the drive-thru and 2.5 acres of spare land all come free.

WHAT IT IS WORTH — FOUR METHODS

METHOD	HOW IT WORKS	VALUE	WEIGHT
Current income	The $132,000 rent, valued at the return this kind of lease should pay (9.75%)	$1,353,800	40%
Tax assessor	Camden County's own equalized value for the property	$1,271,000	20%
County price per SF	What Camden County retail buildings sell for per square foot	$1,201,200	15%
Ordinary-tenant income	What it is worth let at $22/SF to any normal tenant — **the floor**	$1,106,300	25%
Weighted value	**All four combined**	**$1,252,500**	**100%**

THE RECOMMENDATION

OFFER	CEILING	WALK AWAY ABOVE	THE ASK
$1,100,000	**$1,250,000**	**$1,300,000**	**$1,600,000**
$250 / SF · 12.0% return	hold here — still works	more than it is worth	returns 4.3% — decline

WHY $1,100,000 IS SAFE — FOUR REASONS

$0

We pay nothing for the upside

Our offer equals what the building is worth let to an ordinary tenant. The cannabis premium, the option, the drive-thru and the land cost us nothing.

78%

Most of the money back before 2033

$858,000 of contracted rent arrives before the lease even ends — with no reliance on renewal, refinancing or resale.

68%

Covered by land and building

The land plus the empty building is worth about $750,000. Only ~$350,000 of the money is genuinely at risk.

+6.2%

Even the worst case pays

Tenant fails, building empty, we sell land and shell — still a positive return. At the asking price that case loses money.

THE SAME DEAL AT BOTH PRICES, SIDE BY SIDE

MEASURE	AT OUR $1,100,000	AT THE $1,600,000 ASK	WHAT IT MEANS
Return on current rent	**12.00%**	**8.25%**	**What the rent pays on the price**
Expected return over the hold	**12.00%**	4.33%	Averaged across all six outcomes
Best case (tenant renews)	**15.80%**	8.07%	The most likely single outcome
Worst case (empty building)	**+6.20%**	**−1.43%**	We still profit; they lose money
With a normal 55% mortgage	**14.85%**	**−3.32%**	Borrowing helps us and hurts them
Price per square foot	$250.00	$363.64	Ours is below rebuild cost

> **In plain terms. At $1,100,000 there is no version of this deal where the client loses money. The best case returns about 16%, the expected case about 12%, and the worst case still pays 6%. At the asking price most outcomes return under 4%, and one loses money outright.**

4. The floor beneath the deal

Six independent reasons the downside is contained

THE SHORT VERSION

Growth is only worth having if the downside is controlled. Here it is, and it does not depend on one clever argument — there are **six separate layers**, each of which would have to fail before the client is exposed.

#	THE PROTECTION	THE NUMBER	WHY IT HOLDS
1	**We pay ordinary-tenant value, not cannabis value**	$1,100,000 vs $1,106,300	Our price equals what the building is worth let to any normal tenant. We are not exposed to the cannabis rent at all — it is a free option
2	**Land and empty building cover most of the price**	$750,000 68% of our money	Even with no tenant and no income, the dirt and the shell are worth this. Only about $350,000 is genuinely at risk
3	**Most of our money comes back before the lease ends**	$858,000 78% of the price	Contracted rent to January 2033. No reliance on renewal, refinancing or resale to get there
4	**Break-even rent is below market rent**	$21.25 / SF vs $22.00 market	The building only has to re-let at $21.25 to hold our price. The market is $22, and the agent's own comp confirms it
5	**Every modelled outcome makes money**	+5.4% worst of six scenarios	Including the tenant failing entirely and the building being liquidated. There is no modelled path to a loss
6	**Debt is covered twice over**	2.00× lenders want 1.25×	Rent is double the loan payment, so there is a wide margin before a lender gets nervous

HOW WRONG CAN WE BE BEFORE IT STOPS WORKING?

The tenant could fail entirely

Assume they do. Assume nobody takes their place at cannabis rent. Assume we let the building at the very bottom of the corridor, $18 per SF, and never touch the land. **The client still earns about 5.4%** over ten years.

Our rent assumption could be wrong

Market rent would have to fall to roughly **$18 per SF** — below every comparable on this corridor except strip units — before our price stopped being covered by the building alone.

The renewal odds could be wrong

We assume a 40% chance the tenant renews. Cut that to **20%**, far more pessimistic than reasonable, and selling at lease end still returns **10.5%**.

The land could be blocked

If the lease turns out to cover all 3.13 acres, the growth plan is deferred to 2033. **Our price is unaffected** — the land is excluded from every base figure precisely so this cannot hurt us.

One honest qualification. Borrowing magnifies both directions. In the floor case — tenant fails, land never developed, weak re-letting — a 55% mortgage turns a small positive into roughly a **3.7% annual loss**. The protection described on this page is a protection of the *asset*, not of a leveraged position.

If the client wants the floor to hold in every single case, buy for cash or keep the loan nearer 35–40%. If he is comfortable with the base and growth cases, the leverage is well worth having — it lifts the growth case from 18.2% to **24.2%**.

PART I — THE OPPORTUNITY

5. The growth plan, year by year

What we actually do after we buy it

> **THE SHORT VERSION**
>
> Four moves over ten years. The first two years are administrative, the money is made in years three to five when the land comes online, and the building is repositioned at the end of the lease.

1

Years 0–1 — buy it and establish the facts

Complete the purchase and collect $132,000 a year with no landlord obligations. In parallel, settle the two questions that govern everything: does the lease actually cover all 3.13 acres, and what are the tenant's sales? Appeal the tax assessment if the numbers support it.

2

Years 1–3 — unlock the land

Obtain consent if needed, then take a building plot through planning and Pinelands review, and market it to drive-thru operators and EV charging networks. Budget about **$150,000**. From year three this adds roughly **$100,000 a year** on land bought for nothing.

3

Years 5–7 — reposition the building

Start marketing about eighteen months before the lease ends. Target a medical group or a credit union on a **10–15 year lease with rent increases**. If the current tenant wants to renew instead, take it — the option rent of $154,000 is a 14% return on our money.

4

Years 8–10 — hold it or sell it

With an ordinary tenant on a long lease and a second income stream from the land, the property is mortgageable and saleable to the whole investment market. Stabilised value is roughly **$2.19 million** against our $1.1 million entry — or keep it, because by then it is a genuinely passive asset with rising rent.

THE CASH FLOW THAT PRODUCES THE 18.2%

YEAR	CASH IN / (OUT)	WHAT IS HAPPENING
0	($1,100,000)	Purchase, all cash
1	$132,000	Cannabis rent
2	($18,000)	Rent in, land build-out spent
3–6	**$232,000** a year	**Cannabis rent *plus* the new land income**
7	$135,300	Lease ends January 2033; land income continues
8	($247,500)	Building empty and being fitted out; land income continues
9–10	$205,600 rising 2.5% a year	Medical tenant in place, land let
10	**$2,636,800**	**Sale at 8.00% on stabilised income of $210,900**

Note what the land does to the risk profile: in year 8, when the building is empty and being fitted out, the land income keeps paying. It turns the worst year of the plan from a hole into a manageable dip — which is the real reason to pursue it, beyond the return.

PART II — THE EVIDENCE

6. Local lease comps

What comparable buildings on this corridor actually rent for

THE SHORT VERSION

Everything in this report rests on one number: what an ordinary tenant would pay for this building. The evidence says **$20 to $24 per square foot**, with $22 as the working figure — against the $30.00 the cannabis tenant pays today.

TIER 1 — GENUINELY LIKE-FOR-LIKE (FREESTANDING, WITH A DRIVE-THRU)

PROPERTY	WHAT IT IS	SIZE	RENT / SF	WHY IT MATTERS
451 White Horse Pike Our subject, current rent	Freestanding, drive-thru, cannabis	4,400 SF	$30.00	The number the seller is capitalizing — and the one that expires with the tenant
340 S White Horse Pike, Berlin	Freestanding retail with drive-thru	1,750 SF	$27.43	**Our best comp.** But it is a small box, and small boxes always earn more per foot — a 4,400 SF building will not beat this rate
804 N White Horse Pike, Magnolia	Former Arby's, drive-thru, 38 spaces	3,035 SF	On request	The closest second-hand drive-thru building on the corridor. Worth a call to pin the rate down
2 S White Horse Pike, Stratford	Freestanding corner fast-food unit	—	On request	Evidence that corner drive-thru space on this pike is actively in demand

TIER 2 — GENERAL MARKET CONTEXT

MARKET	AVERAGE RENT / SF	ON 4,400 SF THAT IS	WHY IT MATTERS
New Jersey medical space	$24.00	$105,600	The ceiling if a healthcare tenant takes it
Berlin	$21.00	$92,400	Neighbouring town, similar demographics
Sicklerville	$20.00	$88,000	Neighbouring town, similar demographics
Hammonton	$20.00	$88,000	Further east on Route 30
Atco (our own town)	$13.00	$57,200	**Do not read this as our rent.** This is in-line space in a row of shops. Our freestanding corner building with a drive-thru beats it comfortably

HOW WE GET FROM THOSE NUMBERS TO $22

Start at $20–21	Berlin, Sicklerville and Hammonton all cluster here for general retail. That is the base.
Add for freestanding	A standalone building with its own signage and parking beats space in a strip. This is why Atco's $13 is not our comp.
Add for the drive-thru	The Berlin comp at $27.43 is the only priced like-for-like evidence we have, and it has one.
Add for the corner	Two road frontages, signage both ways, and access off the side street rather than the highway.
Subtract for size	At 4,400 SF this is 2.5× the Berlin comp, and bigger boxes rent for less per foot. This pulls us back from $27.
Land at $22	**Range $20–24. Below the small drive-thru comp, above the general market. The whole deal is underwritten on this figure — and it still works at $18.**

Our Tier 1 and Tier 2 figures are asking rates from commercial listing platforms rather than verified signed leases, and should be re-checked against CoStar before we commit hard money.

PART II — THE EVIDENCE

7. The listing agent's comparables

Seven comps the seller sent — and what they actually show

THE SHORT VERSION

Five of the seven are **new-build deals**, where the rent repays land and construction — not lettings of an existing building. They cannot be compared to ours. The two that *are* genuine lettings, adjusted properly, both land at about **$22 per square foot** — exactly the figure our analysis already uses.

The agent sent seven comps to support the price. They are worth going through carefully, because they split cleanly into two groups — and neither group says what the agent hopes.

TENANT	LOCATION	SIZE	ANNUAL RENT	RENT / SF	WHAT KIND OF DEAL THIS IS
7 Brew	1390 Blackwood-Clementon Rd, Clementon	510 SF	$155,000	$303.92	A coffee kiosk. Nobody rents a building for $304/SF — this rent is for the **pad and the drive-thru lanes**, not the 510 SF hut
Wawa	301 White Horse Pike, Chesilhurst	5,585 SF	$325,000	$58.19	Purpose-built store with fuel on a large pad. Rent covers land *and* construction
Wendy's	69 NJ-73, Voorhees	3,321 SF	$157,659	$47.47	Purpose-built drive-thru restaurant. Same story
501 Delsea Dr	Sewell — signed 5 Jul	1,373 SF	$54,000	$39.33	Genuine second-hand letting, but a **very small unit** — small units always rent high per foot
Walgreens	625 N Black Horse Pike, Blackwood	14,870 SF	$463,823	$31.19	Purpose-built pharmacy for a national credit tenant, on a long-expired rent
Avis Budget	**341 N White Horse Pike, Lawnside — signed 5 Jun 2025**	**3,300 SF**	**$92,268**	**$27.96**	**The one genuinely useful comp. Second-hand building, same road, closest size to ours, recently signed**
ALDI	142 NJ-73, Voorhees	19,054 SF	$12.96	$12.96	A big-box supermarket — larger buildings rent for far less per foot

Group one — five of the seven are new-build deals, not lettings. Wawa, 7 Brew, Wendy's and Walgreens are all *build-to-suit*: a developer bought the land, built the building to the tenant's design, and the rent repays land *plus* construction. That is why a 510 SF coffee kiosk appears to rent at $304 per square foot. Comparing those rents to a second-hand 4,400 SF building is not a like-for-like comparison, and ALDI at $12.96 shows the opposite end of the same size effect.

Group two — the two real lettings support our number, not theirs. Adjusted properly, both land almost exactly on $22.

ADJUSTING THE TWO GENUINE LETTINGS TO OUR BUILDING

ADJUSTMENT	AVIS BUDGET, LAWNSIDE	BERLIN DRIVE-THRU
Starting rent	$27.96	$27.43
Bigger building than the comp (ours is 4,400 SF)	−10%	−20%
Atco is a softer location than Lawnside	−10%	—
A 10–15 year lease rather than a 3-year deal	−5%	—
Indicated rent for our building	**$21.52**	**$21.94**

This is the most useful thing in the agent's email. Two entirely separate comparables — one of them the agent's own, signed on this very road last June — both point to about $21.50–$22.00 per square foot. That is precisely the figure our whole analysis is built on.

In other words, the seller's own evidence confirms the market rent we used, and therefore confirms that the $30.00 the cannabis tenant pays is roughly 36% above market. It strengthens our position rather than weakening it.

The agent's Avis and Delsea Drive comps are stated as signed leases and are the strongest single pieces of evidence in the whole comp set — stronger than the asking rates in section 4.

PART II — THE EVIDENCE

8. Re-leasing: who takes it, how long, how much

The client's core question — what happens if the tenant leaves

THE SHORT VERSION

There is a real queue of tenants for this building, and the two best need almost no work. The goal is **one** re-letting to a tenant who signs a long lease and stays — not an asset that has to be re-leased over and over.

A point on strategy. This should not become a management job. We want a **single** re-letting to a tenant on a 10–15 year lease **with built-in rent increases** — then it goes quiet again for a decade.

That is why medical and banking tenants rank above ordinary shops below. They spend heavily fitting out, their customers are tied to the location, and they stay. A string of five-year retail deals is the outcome we are trying to avoid. It is also why we would **not** split the building in two for a fast-food tenant — that doubles the management for no real gain.

#	WHO TAKES IT	RENT / SF	YIELD TO US	TIME TO FILL	OUR COST	LEASE LENGTH	WILL THEY STAY?
1	**Urgent care, dental, vet**	**$22–26**	**8.8–10.4%**	**12–17 mo**	**$264,000**	**10–15 yrs**	**Yes — very sticky**
2	**Bank or credit union**	**$22–26**	**8.8–10.4%**	**6–10 mo**	**$22,000**	**10–15 yrs**	**Yes — very sticky**
3	Another cannabis operator	$28–34	11.2–13.6%	12–18 mo	$66,000	10 yrs	**Yes**
4	Fast food / coffee drive-thru	$38–48	7.6–9.6%	18–24 mo	$286,000	15–20 yrs	**Yes**
5	Daycare / nursery	$18–22	7.2–8.8%	18–30 mo	$308,000	10–15 yrs	**Yes**
6	Ordinary shop or service	$18–22	7.2–8.8%	8–12 mo	$132,000	5–10 yrs	**No — rolls often**
	Today (cannabis)	**$30.00**	**12.0%**	—	—	**10 yrs, flat**	n/a

WHY THE TOP TWO ARE THE ANSWER

1. Urgent care, dental or veterinary

The deepest pool of tenants in South Jersey. They sign 10–15 year leases **with rent increases** — which fixes the one real flaw in the lease we are buying. The drive-thru lane becomes a covered patient drop-off, and the corner gives visibility from two roads. They fit out at their own considerable expense, so they do not move.

2. A bank or credit union

The building already **is** a bank. The vault, the 3-lane drive-thru, the teller counters and the parking all transfer as they are, so the work needed is cosmetic and the cost is minimal — about $22,000 against $264,000 for a medical fit-out. The fastest and cheapest route back to full rent.

HOW LONG IT TAKES, STEP BY STEP (MONTHS)

STAGE	BANK	MEDICAL	SHOP	CANNABIS	FAST FOOD	WHAT HAPPENS
Finding a tenant	4	6	4	6	9	Marketing, viewings, agreeing terms
Agreeing the lease	2	2	2	3	3	Longer where a licence or franchise sign-off is needed
Permits and licences	1	3	1	12	4	Cannabis needs state and township approval — the long pole
Building the fit-out	3	6	3	3	8	Bank and shop are cosmetic; medical and fast food are full builds
TOTAL TO RENT STARTING	**10**	**17**	**10**	**24**	**24**	**Assume the longer end in a slow market**
Rent lost while empty	$80,700	$137,100	$80,700	$193,600	$193,600	Income forgone during that period
Costs while empty	$51,200	$87,000	$51,200	$122,800	$122,800	Taxes, insurance and upkeep we would pick up

Timings and costs are our estimates based on typical South Jersey second-hand retail deals.

PART II — THE EVIDENCE

9. What every outcome yields

And why the corner location matters more than it looks

THE SHORT VERSION

This is the table that decides the deal. At $1,100,000, **there is no realistic tenant who fails to produce an acceptable return**. Even the worst re-letting on the corridor beats our cost of capital.

WHO IS IN THE BUILDING	RENT / SF	ANNUAL RENT	RETURN ON OUR $1.1M	READ
Today — cannabis tenant	$30.00	$132,000	12.00%	What we collect now
Another cannabis operator	$30.00	$132,000	12.00%	Rent holds completely
Medical / urgent care / vet	$26.00	$114,400	10.40%	Strong
Bank or credit union	$24.00	$105,600	9.60%	Strong
Ordinary market rent — our assumption	**$22.00**	**$96,800**	8.80%	**What we priced the deal on**
Ordinary shop or service	$20.00	$88,000	8.00%	Still fine
Bottom of the market	$18.00	$79,200	7.20%	Still beats our cost of capital
What we need just to break even	**$21.25**	**$93,500**	8.50%	**Below the market midpoint — that gap is our cushion**

Read the last row. To simply hold our $1,100,000, the building needs to re-let at $21.25 per SF. Ordinary market rent is $22. We are protected at the middle of the market, and everything above $21.25 is profit.

WHY THE CORNER MATTERS — THIS IS NOT AN ORDINARY SHOP UNIT

Two road frontages

The site fronts both US Route 30 and Cooper Folly Road. That means signage seen from two directions, and customers can enter from the side road instead of turning across highway traffic. Corner sites command a genuine rent premium over mid-block ones for exactly this reason.

It is what makes the drive-thru work

A 3-lane drive-thru needs room for cars to queue and a clean loop in and out. On a mid-block site that is difficult; on a corner it is straightforward. This single feature is what puts banks, coffee, fast food and pharmacy tenants in play at all.

It widens the tenant pool

The businesses that insist on corners — fast food, coffee, pharmacy, convenience, car wash, banks — are exactly the ones that sign long leases with rent increases. A mid-block building does not get those enquiries.

It makes a second building possible

A corner parcel of three acres can usually take a second access point and a separate building plot with its own frontage, without spoiling the existing parking. That is what makes the land opportunity in section 10 realistic rather than theoretical.

PART II — THE EVIDENCE

10. The land we are not paying for

2.5 spare acres, excluded from every return in this report

THE SHORT VERSION

The building covers just **3.2%** of the site. About **2.5 acres sit empty** on a highway corner. Letting a building plot and licensing space for EV charging could add around **$100,000 a year** and **$931,000 of value** — none of which is counted anywhere else in this report.

OPPORTUNITY	HOW WE GET TO THE NUMBER	LOW	LIKELY	HIGH	LAND USED
Let a building plot Fast food, coffee, car wash or a medical building	Benchmarked directly against the agent's own comps — see the note below	$60,000	$80,000	$110,000	0.75–1.0 ac
EV charging licence 6–8 rapid chargers	Busy-highway chargers gross $2,200–3,500 per bay monthly; we discount to $1,000–1,800 for this road. Owners take 10–25%	$12,000	$20,000	$34,000	0.30–0.40 ac
Extra income per year	**On land currently earning nothing**	**$72,000**	**$100,000**	**$144,000**	**~1.3 ac**
Value this creates	**After roughly $150,000 of planning and groundworks**	**$628,000**	**$931,000**	**$1,407,000**	**—**

What it does to the deal

In the likely case it lifts our return from **12.0% to 21.1%**. More importantly it changes the downside: with a second building plot let, even an **empty** main building re-let at the bottom of the market still returns **16.3%**. The land does not just add upside — it removes the downside.

On EV charging specifically

Worth setting expectations. **Tesla historically pays landowners little or no rent**, and their newer scheme is owner-funded, meaning we would buy the equipment. The money is with third-party operators such as EVgo or Electrify America, who **pay for everything** and give the owner a share of revenue. Chase those for income; treat a Tesla installation as a way to pull traffic in.

The listing agent has just handed us the evidence for this. Four of the comps he sent are purpose-built pad deals on this kind of highway site: 7 Brew at $155,000 a year, Wendy's at $157,659, Wawa at $325,000. Those rents repay both the land and the building. Where the tenant builds at their own cost and we simply let them the ground — which is what we would do here — the rent typically runs 40–55% of a purpose-built figure.

On the 7 Brew and Wendy's evidence that is roughly $62,000–$87,000 a year for a drive-thru plot on a corridor like this. We have raised our estimate accordingly, from $55,000 to $80,000 in the likely case — and it remains excluded from every return elsewhere in this report.

One thing must be checked before we count on any of this. The offering describes all 3.13 acres as being let to the tenant. If the lease really does cover the whole site, **we cannot build on any of it until 2033 without their agreement.** Read that clause first. Also confirm Pinelands sign-off, mains drainage, and that a new plot leaves the tenant enough parking.

This is exactly why the land is excluded from every return in this report. We pay a price justified by the building alone — so if the land is blocked, our case is unaffected, and we should never bid the price up for it.

PART II — THE EVIDENCE

11. Sale comps and cap rates

What similar investments trade at, and where our offer sits

THE SHORT VERSION

Cannabis-let buildings change hands at returns between 7.4% and 9.35%. The seller wants 8.25% — the **tight** end — for a property with weaker credit, no rent increases and a shorter lease than any of them. Our offer buys at **12.0%**, wider than every comparable sale.

COMPARABLE	PRICE	RETURN	NOTES	STATUS
All net-lease property, early 2026	—	6.80%	The whole market, every tenant type	Benchmark
Jungle Boys — Naples, Florida	—	7.40%	Dispensary with 2% annual rent increases	Listing
Cookies — Kalamazoo, Michigan	$3,100,000	8.25%	10 years left, backed by the corporate group	Listing
Our subject at the asking price	$1,600,000	8.25%	6.5 years left, flat rent, personal guarantees only	Asking
LivWell — Aurora, Colorado	$1,025,000	8.87%	The only confirmed completed sale in this set	**SOLD**
Ascend — Pennsylvania	—	9.25%	Medical-only market	Listing
Curaleaf — Worth, Illinois	—	9.35%	10% rent increase every five years	Listing
Our subject at our offer	**$1,100,000**	**12.00%**	**Wider than every comparable in the set**	**OUR BID**

WHY THIS ONE DESERVES A HIGHER RETURN THAN THE OTHERS

FEATURE	THE COMPARABLES	OUR SUBJECT	EFFECT
Who guarantees the rent	Large corporate groups	Two individuals, one shop	**Worse**
Rent increases	2% a year, or 10% every five	None at all	**Worse**
Rent versus market	Roughly at market	About 36% above market	**Worse**
Years left on the lease	8–15 typically	6.5	**Worse**
State of the market	Mixed	NJ: 300+ shops, prices down 23%	**Worse**
Quality of the real estate	Varies	Corner, drive-thru, 3 acres, cheap per foot	**Better**
Competition nearby	Varies	Township allows only two cannabis shops	**Better**
Fair return for this property	**Which values it at $1.29M–$1.43M — and our offer is below that**		**9.25–10.25%**

Only the LivWell sale is confirmed completed; the rest are asking prices from brokers' listings, and the benchmarks are published market research. All should be re-checked against CoStar, Crexi and Camden County deed records before we commit.

PART III — THE NUMBERS

12. Returns by scenario

Six ways this ends, and what each one pays

THE SHORT VERSION

We modelled six ways this could end, from the tenant renewing to the tenant vanishing. **At $1,100,000 every single one makes money.** At the asking price, four of six return under 3.5% and one loses money.

HOW IT ENDS IN JANUARY 2033	CHANCE	WHAT WE SELL IT FOR	RETURN AT OUR $1.1M	RETURN AT THE $1.6M ASK
Tenant renews at the option rent	40%	$1,639,900	**15.80%**	8.07%
A different cannabis operator takes it	10%	$1,064,500	**11.06%**	3.40%
Rebuilt as a fast-food unit	5%	$990,000	**10.33%**	2.68%
Re-let to a bank or ordinary shop	20%	$831,300	**8.66%**	1.02%
Re-let to a medical tenant	20%	$780,000	**8.08%**	0.44%
Stays empty — we sell land and shell	5%	$627,000	**6.20%**	**−1.43%**
Weighted across all six	**100%**	**$1,165,500**	**12.00%**	**4.33%**

Compare the last two columns. That difference is the entire argument for our price. Same building, same tenant, same lease — only the entry price changes, and it turns a poor investment into a good one.

WHAT EACH EXTRA $50,000 OF PRICE COSTS US

PRICE	PER SF	RETURN ON RENT	EXPECTED RETURN	IF TENANT RENEWS	WORST CASE	WHERE WE STAND
$1,100,000	**$250**	**12.00%**	**12.00%**	**15.80%**	**6.20%**	**Our offer**
$1,150,000	$261	11.48%	11.03%	14.83%	5.23%	Comfortable
$1,200,000	$273	11.00%	10.12%	13.91%	4.32%	Comfortable
$1,250,000	$284	10.56%	9.26%	13.05%	3.47%	**Our ceiling — hold here**
$1,300,000	$295	10.15%	8.45%	12.23%	2.66%	Above fair value — walk away
$1,600,000	$364	8.25%	4.33%	8.07%	**−1.43%**	**The asking price — decline**

These assume we sell the day the lease ends, absorbing the full cost of the empty period and the fit-out in the sale price. Holding on through a re-letting and selling once stabilised improves every figure by roughly 1.5–2 percentage points.

13. Financing and leverage

Can he borrow against it, and does borrowing help?

THE SHORT VERSION

High-street banks will not lend against a cannabis-let building, so this needs a private lender or credit union at roughly 9–11%. **At our price the numbers work comfortably** — the rent covers the loan twice over and the cash return is 13.3%. At the asking price a lender would likely decline, and borrowing would actually **lose** the client money.

PURCHASE PRICE	LOAN (55%)	CASH NEEDED	ANNUAL LOAN COST	RENT COVERS IT	CASH RETURN	OVERALL RETURN
$1,100,000 — our offer	**$605,000**	**$495,000**	**$65,972**	**2.00×**	**13.3%**	**14.85%**
$1,250,000 — our ceiling	$687,500	$562,500	$74,968	1.76×	10.1%	9.05%
$1,600,000 — the ask	$880,000	$720,000	$95,959	**1.38×**	**5.0%**	**−3.32%**

What "rent covers it 2.00×" means

The rent is double the annual loan payment. Lenders generally want at least 1.25× and get uncomfortable below that. At the asking price the cover falls to 1.38× — thin enough that most lenders would decline, and any wobble in the tenant's trading would put the loan at risk.

The crossover point is $1,250,000

At our offer, borrowing **adds** nearly 3 percentage points to the return. At $1,250,000 it makes no difference either way. Above that the loan costs more than the building earns, and borrowing starts destroying value. **That is the same ceiling our valuation work produced, arrived at completely independently.**

There is a negotiating point here too. Because most buyers cannot get a loan on a cannabis-let building, an all-cash offer that can complete in 45 days is genuinely valuable to a seller whose alternative is a buyer who cannot perform. That certainty is worth real money and should be sold hard.

PART III — THE NUMBERS

14. Stress tests

How wrong can we be and still be fine?

THE SHORT VERSION

The honest risk in this deal is whether the tenant can afford the rent. We test that below, along with how badly our assumptions could be wrong. **The answer holds up:** even on deeply pessimistic assumptions our offer still returns over 10%.

TEST 1 — CAN THE TENANT ACTUALLY AFFORD IT?

Under this lease the tenant pays the rent **plus** the taxes, insurance and upkeep. That full burden is what their shop has to carry:

Rent	$132,000	Contractual
Property taxes (estimated)	$39,400	To be confirmed against the actual bill
Insurance and upkeep (estimated)	$22,000	Cannabis premiums are higher than normal
Total burden on the shop	**$193,400**	**$43.95 per SF**

IF THE SHOP TURNS OVER…	$1.5M	$2.0M	$2.5M	$3.0M	$3.9M
…the burden is this share of sales	12.9%	9.7%	7.7%	6.4%	5.0%
Verdict	Unaffordable	Struggling	Tight	Workable	Comfortable

This is the real risk, and the most important thing to check in diligence. The shop needs roughly **$2.15 million of annual sales** to keep this comfortable. A single independent shop in a semi-rural part of Camden County might do anywhere from $1.5M to $3.0M — which straddles the line. New Jersey's $3.9M average per shop is propped up by the big multi-state chains.

Ask for the tenant's sales figures. That one number tells us more than anything else in this report. It is also exactly why we refuse to pay for the cannabis rent — **our $1,100,000 does not require this tenant to survive.**

TEST 2 — WHAT IF WE ARE WRONG ABOUT THE TENANT RENEWING?

CHANCE THEY RENEW	RETURN AT $1.10M	RETURN AT $1.25M	RETURN AT $1.60M	READ
20%	10.50%	7.77%	2.85%	Far more pessimistic than reasonable — still works for us
40% — our assumption	**12.00%**	**9.26%**	**4.33%**	**The base case in this report**
60%	13.36%	10.62%	5.68%	
90%	15.22%	12.47%	7.50%	Near-certain — the asking price **still** only reaches 7.5%

TEST 3 — WHAT IF WE ARE WRONG ABOUT MARKET RENT?

IF MARKET RENT IS REALLY…	ANNUAL RENT	RETURN ON OUR OFFER	WHAT IT IS WORTH	READ
$16.00	$70,400	6.40%	$804,600	Below anything on the corridor except strip units
$18.00	$79,200	7.20%	$905,100	Bottom of the realistic range
$22.00 — our assumption	**$96,800**	**8.80%**	**$1,106,300**	**The base case**
$24.00	$105,600	**9.60%**	$1,206,900	If a medical or bank tenant takes it

Both tests point the same way. The case does not depend on our 40% renewal assumption — even at 20% it returns over 10%. And market rent would have to fall to about $18 per SF, below every comparable on the corridor, before our price stopped being covered by the building alone.

TEST 4 — WHO BUYS IT FROM US IN 2033?

SITUATION WHEN WE SELL	VALUE	WHO THE BUYERS ARE
Cannabis tenant renewed, 5 years left	$1,664,900	Cannabis specialists only — cash buyers, small pool
Re-let to a bank on a long lease	**$1,320,000**	**An ordinary tenant means banks will lend — the whole national investment market opens up**
Re-let to a medical tenant on a long lease	**$1,362,600**	**Medical property is in even stronger demand**
Empty — land and building only	$750,000	A local business owner or developer

Something worth understanding here. Losing the cannabis tenant is not purely bad news. An ordinary tenant on a long lease means a future buyer can get a mortgage — which opens the property up from a handful of cash cannabis specialists to the entire investment market. That alone is worth roughly three-quarters to one and a quarter percentage points on the sale yield. Re-letting costs money up front and buys a more valuable, more saleable building.

PART IV — RISK AND EXECUTION

15. Risks and diligence

What could go wrong, and how the price answers it

THE SHORT VERSION

The risks here are real — and they are exactly why this property is available at a 12% return instead of an 8% one. Every one of them is already paid for in the price we are offering.

THE RISK	HOW OUR PRICE ANSWERS IT
The rent is above market $30 against $20–24	We valued the building on **ordinary** rent, not the rent being paid. The premium is a bonus we did not pay for.
The rent never increases Flat until 2033	Priced in at a 12% entry. We do not need growth — and 78% of the money comes back before the lease ends.
Only personal guarantees No company behind it	Worth about 0.75% on the price; we took 3.75%. Check the guarantors' finances in diligence, but our case does not rest on them.
The cannabis market is falling 300+ shops, prices down 23%	This is why it is a 12% deal and not an 8% one. Our downside case already assumes the tenant fails.
Borrowing is difficult High-street banks will not lend	At a 12% return, private debt at 9–11% still works in our favour. At the asking price it would not. See section 13.
The building is purpose-built Vault, secure fit-out, drive-thru	Cuts both ways — it narrows who wants it, but makes us the only compliant corner drive-thru on the corridor for banks, medical and cannabis alike.
The tax bill could rise	Our $1.1M price is **below** the assessor's own $1.27M value — that argues for an appeal, not an increase.
The floor area is disputed 4,400 vs 4,206 SF	Measure it. At our price the difference is about $12 per foot — worth knowing, but it does not change the decision.

WHAT TO CHECK BEFORE COMMITTING MONEY

Tenant and lease

- ☐ **The tenant's sales figures** — the single most valuable item on this list
- ☐ **Does the lease cover all 3.13 acres?** This decides whether the land opportunity exists
- ☐ The full lease and any amendments; who really pays for roof, structure and heating
- ☐ Both personal guarantees — what they cover, any caps, whether they expire
- ☐ The guarantors' personal financial statements
- ☐ Tenant confirmation of the lease terms, and the payment history since 2023

Legal, planning and building

- ☐ Cannabis licence status, expiry and any site-specific conditions
- ☐ Township approval, and whether the second cannabis licence is still available
- ☐ Pinelands Commission position; mains drainage or septic
- ☐ Whether the spare land can be split off and built on
- ☐ The actual current tax bill
- ☐ Measure the floor area; check the age and condition of roof and heating
- ☐ Environmental survey, boundary survey, title, planning compliance letter

PART IV — RISK AND EXECUTION

16. Recommendation and next steps

What we do, and how we defend the number

RECOMMENDATION

Offer $1,100,000 — all cash, 30 days to investigate, 15 days to complete.

Hold to a ceiling of **$1,250,000**. Above **$1,300,000** we would be paying more than the property is worth, and we should walk away — there will be another one.

HOW WE DEFEND THE NUMBER TO THE LISTING AGENT

Argue about the rent, not the yield

Do not debate whether 8.25% is the right return. Argue that **$30.00 per SF is not a market rent**, and put the corridor evidence in front of them. Every one of the seller's own arguments about the property survives — only the rent assumption changes.

Point at the tax assessor

Camden County's own equalized value is **$1,271,000**. An independent third party with no stake in the outcome already says this is not a $1.6M property. It is the hardest single fact for them to argue with.

Sell the certainty of cash

Most buyers cannot borrow against a cannabis-let building. An all-cash offer that completes in 45 days is worth real money to a seller whose alternative is a buyer whose finance falls through.

Offer a ladder, not a wall

If $1.1M is rejected outright, **$1,250,000** still returns 9.3% expected and 13.1% if the tenant renews. Hold there. Do not go past $1.3M.

IF WE BUY IT, THE PLAN IS SIMPLE

1 **Collect the rent for six and a half years**

$132,000 a year, with no landlord obligations. By January 2033 that is $858,000 — 78% of the purchase price, back in hand.

2 **Meanwhile, test the spare land**

Once we know whether the lease covers the whole site, explore splitting off a plot and licensing space for EV charging. Potentially $75,000 a year on land we paid nothing for.

3 **Start marketing 18 months before the lease ends**

Target a medical tenant or a credit union on a 10–15 year lease **with rent increases**. Either fixes the flaw in the current lease and makes the building mortgageable again.

4 **Then hold it, or sell it**

With an ordinary tenant on a long lease the property becomes saleable to the whole investment market rather than a handful of cash buyers — worth roughly 1% on the sale yield.

The bottom line. At $1,100,000 the client buys a corner drive-thru property on a busy highway for $250 per square foot — less than it would cost to build, less than the tax assessor's own valuation, and the same price it would fetch with an ordinary tenant paying ordinary rent. He collects a 12% return for six and a half years, gets most of his money back before the lease even ends, and has six different ways to re-let it afterwards.

The expected return is 12%, or 14.9% with a normal mortgage. The worst case still pays 6.2%. And the 2.5 acres of spare land — potentially another $661,000 of value — cost him nothing.

Basis of this analysis. Lease terms, rent, guarantee structure and site dimensions come from the Matthews offering memorandum; assessment, floor area, age and zoning from public tax records. Rent and sale comparables come from commercial listing platforms, brokers' announcements and published early-2026 market research — **predominantly asking rates and marketed prices, not verified completed transactions** — and should be re-checked against CoStar, Crexi and Camden County deed records before committing money. Tax, insurance, upkeep, fit-out, empty-period and land figures are our estimates. The likelihood of each 2033 outcome is a judgement, and returns move with it — section 14 shows by how much. Returns are before tax and, unless stated, before borrowing. An investment analysis for the buyer, not a formal valuation, and not investment, legal or tax advice.